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// For India, we see that because of the geography, the infrastructure available and the market, in the short term, we're focusing on the hardware area //

Microsoft's Game Plan

Yolanda Chan is the Regional Sales Director, Home and Entertainment Division (HED), Microsoft Asia-Pacific (Apac) Region. HED is one of the seven business groups with Microsoft Corporation, and consists of Xbox, hardware products (input devices), Game Studios, Home and Productivity software and Office for MAC product offerings.

The second week of November saw Ms Chan visiting various cities in India. We caught up with her and Mohit Anand, Manager, HED, Microsoft India, to ask them a few questions about their plans for the subcontinent.

Digit (D): What's the purpose of your trip?

Yolanda Chan (YC): The purpose of my visit is to understand the market, its gaming potential. There are a lot of great things happening in India, such as the hardware product launch in September (this was when MS launched around 21 keyboards and mice). I'm mostly touring around, to understand the market, know how the consumers are, and meet our partners. One of the reasons is to launch the *Halo* Championship Programme in Bangalore. It's really exciting. We launched *Halo* on the 17th of October, and considering the response we've got, we want to help build a community. The contest includes 7 cities, and 1,000 participants per city. It starts in the middle of December.

Mohit Anand (MA): It's a cash-based championship, with a first prize of a lakh of rupees, and no entry fee. The winner gets a chance to participate in the World Championships to be held in Los Angeles on January 24 and 25, on an all-expenses-paid trip. December 28, is the date for the India finals.

D: MS game titles seem to be priced high, with Rs 3,500 for *Flight Simulator 2004*, Rs 1,700 for *Halo*. Most other games retail at around Rs 1,500. Why is this so?

YC: We actually have a global pricing strategy for MS titles. Based on the market potential, we adjust prices accordingly. Our bottomline is that the pricing reflects the value that the title has to offer.

MA: Indian game prices are actually among the lowest in the world. The factors of a negative dollar-rupee conversion and the lower purchasing

power, are taken into account while fixing the price. But consider the amount of effort that goes into the making of a game. A modern title takes upwards of 2 years and several million dollars to put out on the market—there's not a lot of money that we make on the game as such, especially considering its pricing here.

D: Maybe, but the prices of MS titles are still way above those from other publishers—*Warcraft III's* expansion, *The Frozen Throne*, retails for Rs 999, as compared to *Age of Mythology: The Titans Expansion*, which sells for Rs 1,299.

MA: In the AOM series, if you look at the kind of details that's gone into it, it's a very fair pricing. The fact of the matter is that no other publisher is present in the country. And we've been there for the last five years. Nobody else is making a move to come in, which shows the commitment that they have in the long term to the market and the gamer. We invest marketing dollars towards developing gaming as an alternative form of entertainment in the country. No other publisher's done that. So, those are factors you need to take a look at while determining the overall price.

D: Maybe time will answer that. We do get a lot of readers complaining about the prices of games...

YC: I'd like to first thank readers that actually pay for a product, or buy any game, whether it's a competitor's or not. With regards to pricing, each company will have a different pricing strategy, each will look at their strengths, the quality of the product and the engineers and designers that work on it.

MA: Speaking of which, *FS2004* has met with stupendous success. For that matter, it's the second-best selling title from June till today, behind *Rise of Nations*. It shows that there are people out there willing to pay for the quality they get.

D: What kind of work does HED do, and what are you attempting to do in India?

YC: Well, we're very much focusing on the PC platform. It's only in the last 5 years that we've gone aggressively in this region—this year, we've actually reworked the entire organisation, since we've seen that the home is the market of the